

KOREA 2012

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

Unemployed persons are covered by an employment insurance to which employers and employees contribute. As a last-resort benefit, social assistance is also provided under the National Basic Livelihood Security (NBLs) System which guarantees basic livelihood and supports self-reliance for all those with incomes below the minimum cost of living, the official poverty line, regardless of their working ability.

All net incomes, replacement rates and other figures in this report are based on the Korean tax and benefit system in effect as July 2012.

1.1 Average Worker wage (AW)

The national currency is the Won (KRW). In 2012, the average worker (broadened new definition) is expected to earn KRW 38 546 380 ¹.

1. AW refers to the Average Worker estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2009-2010*, OECD, 2011, part 5, sections 2 and 3

2. Unemployment insurance

Unemployment benefits can be categorized into two, namely job-seeking allowance and employment promotion allowance.

- *Job- Seeking Allowance*: provides cash payments to maintain the worker's standard of living and to facilitate their re-employment.
- Employment Promotion Allowance, split into:
 - Early Re-employment Allowance aims to facilitate the recipients' re-entry into a job, for those who get a steady² job earlier than the given benefit duration; it amounts to one-third to two-thirds of Basic Allowance for the residual days.
 - Job Abilities Development Allowance is paid to those who take training from vocational training institutes under the direction of the Employment Security Office.
 - Wide-area Jobseeking Allowance is paid to those who are seeking jobs 50 km away from their residence referred by the Employment Security Office.
 - Moving expenses are paid to those who move to another place to take jobs or training mandated by the Employment Security Office.

2.1 Conditions for receipt

Must be insured for 180 days during 18 months before leaving job and still being unemployed despite having will and capacity to work (those who voluntarily leave job and those who are dismissed due to their own faults are not entitled to unemployment benefits) and must make engage in active job-search activities.

2.1.1 Employment conditions

See the contribution conditions (section 2.1.2).

2.1.2 Contribution conditions

Must be insured for 180 days during 18 months before leaving job

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The daily basic allowance is 50 per cent of the daily wage. The daily wage is the amount calculated by dividing the wage paid in the last three months preceding unemployment by the total number of working days of the same three-month period. The minimum benefit is 90 per cent of the minimum wage; the maximum monthly benefit is KRW 1,200,000 (KRW 40,000 per one-day). The daily minimum wage is KRW 36,640

² Jobs that guarantee more than 6 months of continuous employment. Number of working hours doesn't matter.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

If a recipient finds a job or earns income from the job he/she found, such an incident should be notified to the Employment Security Office. If the income earned divided by the number of allowance days to which the beneficiary is entitled exceeds 120 per cent of the minimum wage(daily), such excess will be deducted from the (daily) job-seeking allowance the recipient is originally entitled to.

The payment of unemployment benefit is suspended in case the beneficiary gets re-employed and contributes to the Employment Insurance System (EIS). The same applies if the beneficiary works 60 hours or more per month.

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment benefits are not taxed, in accordance with Article 12 of the Income Tax Law.

2.4 *Benefit duration and waiting periods*

The maximum duration of payment of unemployment benefits ranges between three and eight months, depending on the age of the recipient at the time of job loss and the period of contribution to the EIS. It is shown below in days of benefit:

Age (years)	Periods of contribution to the EIS (days)				
	Under 1 year	1-3 years	3-5 years	5-10 years	Over 10
Under 30	90	90	120	150	180
30-50	90	120	150	180	210
Over 50 and the disabled	90	150	180	210	240

*There is a 7 day waiting period.

2.5 *Treatment of particular groups*

Disabled persons, regardless of their age, are entitled to the same number of days of benefits as those over 50 years of age.

2.5.1 *Young persons*

2.5.2 *Older workers*

2.5.3 *Others if applicable*

3. Unemployment assistance

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

For the past **forty-three** years, the Korean government has provided limited protection mainly for those who are unable to work due to age or disabilities under the previous Livelihood Protection System. However, the Korean financial crisis in 1997 and following structural reforms caused rapid increase in the number of the poor and unemployed, which required urgent expansion of the social safety net. To face this situation in a fundamental way, the government enacted the National Basic Livelihood Security (NBLS) Act in September 1999, and fully implemented the system in October 2000.

The new system has changed the paradigm of policies to fight against poverty. The system emphasises social responsibility for poverty and has strengthened the right of the people in the low-income bracket to receive public assistance. All the people who live under the poverty line are provided financial benefit regardless of their working ability.

At the same time, the system provides well-organised self-support services so that recipients who are able to work can free themselves from poverty. The government provides self-support programmes for those in the lower-income bracket who are considered and judged to have a degree of ability to work.

- The base unit for verifying whether qualification for this system is satisfied is individual household, and depending on size of the household members, the payment rate applies differently.
- Also, for those aged 18 to 64 with work capability, the livelihood benefits is provided on condition of participation in the self-help work program, and by verifying whether they carry out conditions for receipt of the benefits, all or part of the benefits are suspended.
- Regarding means-test, for households consisting of only those without work capacity such as elderly, severely disabled, etc. a special rule exempting property from calculation of income is applied.

4.1 Conditions for receipt

Benefits for the NBLS are subject to means test based on the new income scale introduced in 2003. This new scale, named “Combined Income Criteria” (also known as “Evaluated Amount of Income Criteria”), reflects the combination of household income and property value that is converted into a certain amount. In addition, there is another eligibility criteria of “lack of supporters”.

2012 Minimum Cost of Living*

Size of household (persons)	1	2	3	4	5	6
Minimum Cost of Living (thousand KRW)	553	942	1,220	1,495	1,772	2,048

* The Minister of Health and Welfare declares the level of MCL every year.

Firstly, the Minimum Cost of Living is annually determined by the Central Living Assistance Committee, a committee appointed and led by the Minister of Health and Welfare to set up guidelines for overall social assistance matters. To be eligible for the NBLS benefits, the amount of combined income should be below the minimum cost of living as shown in the above table. Previously, recipients should meet both income and property criteria, while the application of the dual criteria often led to blind spots in protection of the needy. For example, the unemployed who had no income but owned a house (**worth KRW 69 million or over as of 2011, 4person household based on small towns**) were excluded from the NBLS benefits. In order to address this problem, the government has adopted unified criteria where property value is converted into a monetary amount and added to the income amount. Specifically, properties are divided into three categories- general, financial, and vehicles-and the conversion rate* is applied to each type of

property, from which the total value of property is calculated. Debts are then subtracted and also the value of essential properties considered necessary to maintain everyday life of the recipient. These combined income criteria are designed to enhance rationality and equity in the provision of NBLS benefits.

* Conversion rate is determined by the Ministry of Health and Welfare, considering interest rate, inflation rate, and the growth rate of real estate and housing prices.

Secondly, those who live with person/persons responsible for supporting them (hereafter, “legal supporter”) are not eligible as recipients. More concretely, eligibility is given only to those with neither spouse nor lineal relatives by blood nor brothers/sisters, who are not only liable but also able to support them. Obligation as a “legal supporter” is exempted in some cases such as his/her property value is less than 130 per cent of the total of both his/her and the applicant/recipient’s property value. The assistance agency, however, can provide assistance benefit in advance for those whose “legal supporters” refuse to support, and afterwards make those “legal supporters” pay the cost.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

Assistance is given in the form of the total of seven benefits such as cost of living, housing, medical care, educational, childbirth, funeral and self-support benefits. The NBLS Act stipulates that the recipient’s total household income should exceed the minimum cost of living (MCL), which is set to guarantee the minimum for healthy and civilized living. If the recipient receives any supports under other programmes as well, they are deducted from the total amount of assistance under the NBLS system. Actually, the total amount of assistance under the NBLS system equals the balance of the minimum cost of living and the recognized income of the household including other supports under different programmes.

**Monthly cash benefit¹ (cost of living and housing cost) levels per household,
under the NBLS in 2012**

Size of household (persons)	1 person	2 persons	3 persons	4 persons	5 persons	6 persons
Monthly benefit (in KRW)	453,049	771,408	997,933	1,224,457	1,450,982	1,677,507

1. In-kind benefits such as medical and educational aid, etc. are also provided separately in case those benefits are needed by the beneficiaries.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Thirty per cent of the income earned by the disabled in the "Job Rehabilitation Programmes", "Self-Support Cooperative", students and all recipients taking part in the Self-support labour program is deducted from the earned income which would otherwise lower the level of the total amount of assistance.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 Benefit duration and waiting periods

Benefit can be applied for any time without a waiting period. And it is paid out immediately if the applicant meets the income and property standards.

There is no age and duration limit in receiving benefits. Benefits continue as long as he/she meets the income and legal supporter standards.

4.5 Treatment of particular group

4.5.1 Young persons

4.5.2 Older workers

Korean government pays **94,600 KRW** per month for households consisting of a single aged 65 or more as basic aged pension for elderly, and **151,400 KRW** for households consisting of spouses.

4.5.3 Others if applicable(disability allowances)

Severe Disability Allowance which used to be provided for persons with severe disabilities has been replaced by the Disability Pension, beginning July 2010. Unlike Disability Allowance, the Disability Pension is governed by the Disability Pension Act and the pension amount is adjusted upward annually by reflecting wage increases.

Persons aged 18 or over with severe disabilities (1st, 2nd and 3rd disability) receive the Disability Pension worth 94,600 to 154,600KRW per month.

Those who are aged 18 or over but have less severe 3rd to 6th degree disability receive Disability Allowance amounting to 30,000 KRW per month while those under 18 with 1st to 6th degree disability are given 100,000 to 200,000 KRW worth of Disability Allowance.

5. Housing benefits for rented accommodation

5.1 Conditions for receipt

Housing assistance was newly introduced in **the NBS** to support residential stability in consideration of the fact that housing expenditure takes up a considerable part of living expenses, especially in the low-income class. It is provided in cash covering housing rent and the maintenance/repair expenses. In-kind benefits in the form of maintenance/repair services can be provided from 2001, when it is judged to be necessary by the assistance agency.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit (총수혜액 산정)

Monthly housing benefit levels per household, under the NBLS in 2011

Size of household (persons)	1	2	3	4	5	6
Housing assistance (thousand KRW)	88	149	193	237	281	324

5.2.2 *Income and earnings disregards*

A part of earned income of NBLS beneficiaries and persons with disabilities who participate in government-run self-sufficiency programs, is deducted. Also, income that is used for the costs additionally generated due to characteristics of a household (such as ones composed of persons with disabilities, lone-parent family, a patient who require medical expenses for a long time) is deducted out of government transfer income of the NBLS beneficiary.

5.2.3 *Costs eligible for housing benefits***5.3** *Tax treatment of benefit and interaction with other benefits*

Wage and salary income earners may deduct the expenses from gross income for the saving or payment for housing during the year concerned: full amount paid up to 10 million won for the interest of long-term mortgage loans plus 40 percent of the amount repaid of the loan for leasing a house or the amount contributed to a savings account for housing by a taxpayer who does not own a house or owns only one house that is smaller than 85square **meters** in size whose government-evaluated price is 300 million won or less.

Housing benefits under the NBLS is provided in cash for rent and maintenance for their housing security. There is no special tax treatment of the cash benefit. Housing benefits are offered regardless of other social welfare benefits. However, it is ensured that in-kind benefits like housing repair are not concentrated to certain people by imposing a limit on the interval.

5.4 *Treatment of particular groups***5.4.1** *Young persons***5.4.2** *Older workers***5.4.3** *Others if applicable***6.** *Family benefits***6.1** *Conditions for receipt***6.2** *Calculation of benefit amount*

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

6.2.1 *Calculation of gross benefit*

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. **Childcare for pre-school children**

7.1 *Out-of-pocket childcare fees paid by parents*

Full-time childcare

In **2012** parents pay different monthly child-care fees for children of different ages (according to government subsidy chart), **394,000** won for less than 1 year old, **347,000** won for 1 year old, **286,000** won for 2 years old, **197,000** won for 3 year old, **177,000** won for 4~ years olds per month. **200,000** won for 5 years olds per month.

Average child-care fees paid by parents are affected by such aspects as the child's age, and type of facilities. Facilities are divided into those supported by the government (state & public, corporations) and not supported by the government (private). The government supports facilities by providing costs for operating the facility such as labor costs. This makes child-care fees at government supported facilities cheaper than unsupported facilities. For 5 years old, child-care fees are 200,000won for government-supported facilities, and 246,000 won for unsupported facilities in Seoul. **In June 2012, 22.6%** of all children were using government supported child-care facilities.

Child-care fees are not too much a burden for parents working 40 hours a week.

Cost items for childcare facilities include

1. labor cost,
2. meals and snacks for the children,
3. books and teaching tool,
4. management and operations costs.

For tax deduction for child-care fees, there is the 'child-care fee deduction', and 'education fee deduction for preschool babies, infants, and kindergarten children'.

Education fee deduction is a special deduction, in which each child using child-care facilities or kindergartens are subject to deduction of up to **3,000,000** won per year.

Child-care fees are taken into consideration when calculating minimum living expenses.

7.2 Child-care benefits for formal centre-based care

As well as the support for formal centre based care described below, there is also an allowance for children who do not use child care, described in section 7.3.

The Korean government has broadened eligibility of child care fee support every year to ease the burden of parents in using child care facilities.

1. Support for 0-4 year olds

It is provided for 0-4 year olds who attend child care centers and some of primary school students using after school programs. A household of bottom 70% in income distribution is eligible. The amount of support is different depending on the number of the members of the households and the recognized income. In 2011 the standard amount of support was set at 394,000 won for children less than one year of age, 347,000 won for one year olds, 286,000 won for 2 year olds, 197,000 won for 3 year olds and 177,000 won for age 4 and above.

Starting in March 2012, all households with 0-2 year olds have received support without regard to their income levels, and for households with 3-4 year olds those in bottom 70% in income distribution have been eligible.

Recognized income limits by the number of households
(unit : 10,000 won)

Eligibility	up to 3	4	5	6
bottom 70% in income distribution	454	524	586	642

2. Support for 5 year olds

It used to be provided for preschool five year old children in the bottom 70% of income bracket. Starting in March 2012, with the introduction of the Nuri Course, all households with 5-year olds have received support without regard to income levels. The amount of support is 200,000 won per month. A child whose entrance to primary school was delayed, the subsidy is given again for one time.

3. Support for children with disabilities

It is provided for children aged 5 or less with disabled welfare cards regardless of the income level of their parents and the degree of disabilities. Exceptionally support is also given to disabled children aged 12 or less who was not able to enter a normal primary school or a special school for reasons including diseases (limited to those who submitted the enrollment delay document) and to children aged 5 or less who have possibility of disabilities but not been issued the disabled welfare cards if they submitted a disabled medical certificate.

To enhance child care services for children with disabilities, a disabled child who use facilities which comply with the 1 to 3 teacher to child ratio and have teachers dedicated to the care of disabled children, is given 394,000 won per month. In the case of the use of the other facilities, the child is provided the ceiling amount as decided by mayor of the city or governor of the province.

4. Support for multicultural families

The standard amount of child care fee support is provided for multicultural families regardless of income if the child attends the child care center, in order to reduce the burden of the families and foster linguistic and social development of the children, thereby promoting social integration of multicultural families and expanding future human resources.

7.2.1 Conditions for receipt

Child care fee support is provided for 0-4 year olds, 5 year old children, children with disabilities and children of multicultural families.

For dual income households, who have to use child care services, the government eased the income requirements for them. By counting only 75% of the combined income of the couple, an additional 27,000 households received the support.

In 2011, 7991,310 children, 73% of the 1,348,729 children attending the child care centers were provided the child care fee support.

7.2.2 Calculation of benefits amount

7.2.2.1 Calculation of gross benefit

Recognized income limits by the number of persons in households

Number of persons in households	up to 3	4	5	6
Monthly income limit for subsidy in units of 10,000 won (bottom 70% of income distribution)	454	524	586	642

Size of subsidy by age of child

Age of child (years)	Age<1	1<=Age<2	2<=Age<3	3<=Age<4	4<=Age	Age<=5
Size of monthly subsidy in units of 10,000 won	39.4	34.7	28.6	19.7	17.7	20

7.2.2.2 Income and earnings disregards

Tax exempted miscellaneous incomes are not taken into consideration when calculating recognized income.

Income criteria for a dual income household has been relieved for child care fee support. Until 2010 in calculating recognized income for the purpose of child care fee support, 25% of income of which was lower of the two were deducted. From 2011, 25% of the combined income of the couple was discounted, increasing their chances to qualify for the support.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Child-care fee supported by the government is not taxed.

7.2.4 *Treatment of particular groups*

Recipients under the Basic Livelihood Security Act, children in low income single parent families, children with disabled parents are given priorities in entering government supported child-care facilities.

Legal low-income bracket child is given the child care fee support without a separate income assessment.

Standards for a legal low-income bracket child are: children of the recipient under the Article 5 of the Basic Livelihood Security Act; children in single parent families that are selected to be protected under the Single Parent Family Welfare Act; children between 3 and 4 that are living in child welfare facilities under the Child Welfare Act; children accompanied by women admitted into facilities for female victims of violence (domestic, sexual), and prostitution victims; and children accompanied by women admitted into the temporary protection facilities for mother and child.

7.3 *Child care allowance for children not using child care centers*

To reduce burden of parents who do not commit their children to child care centers and enhance fairness in the provision of the subsidies, the Korean government introduced the child care allowance for non child care center users in July 2009. In 2010, children aged less than 24 months old in households of the marginally poor or with less income were given 100,000 won per month. In 2011, the eligibility was broadened to children aged less than 36 months old and the amount was increased to 100,000 to 200,000 won depending on the child's age, with children aged 24 to 36 months receiving 100,000 won.

Income criteria for child care allowance in 2011

No. of members of the household	3	4	5	6
Recognized income (million won)	1.47 or less	1.80 or less	2.13 or less	2.46 or less

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8. Employment-conditional benefits

	8.1. Conditions for receipt	8.2. Calculation of benefit amount 8.2.1. Calculation of gross benefit	8.3. Tax treatment of benefit and interaction with other benefits	8.4. Benefit duration	8.5. Treatment of particular group 8.5.1 Young persons 8.5.2 Older workers 8.5.3 others if applicable
Benefits for successful candidates	Targeting those of low-income class participating in the successful employment package support program and contracted for three months or longer for a position requiring a 30-hour or longer work week pursuant to the Labor Standards Act	8.2.1. KRW one million in total	Not to be provided in conjunction with similar allowances including the employment promotion benefits	KRW 200,000 to be provided if the worker completes one month in the initial workplace in the first round KRW 300,000 to be provided if the worker completes three months in the initial workplace in the second round KRW 500,000 to be provided if the worker completes six months in the initial workplace in the third round	n.a
Benefits for early re-employment	Targeting the worker eligible for job seekers' allowances who became re-employed with 30 or more days of the period of entitlement left up to and including the previous day of re-employment after the completion of the waiting period and who remains hired by the employer of the	8.2.1. Amount equivalent to the daily job seekers' allowances of the qualified worker multiplied by one half of the number of unpaid days	Tax exemption granted as part of unemployment allowances	The request for payments should be filed within three years from the date marking the sixth month after the day of re-employment or business startup (to be paid in a single payment).	In the case of those aged 55 or older at the time of re-employment or the disabled, two thirds of the number of unpaid days should be multiplied.

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	workplace of re-employment for six months or longer or continues to operate a business for six months or longer				
Aid for the setup or expansion of the shift system	Targeting the employer newly setting up or expanding the shift system by increasing the number of teams (servicing no more than four teams) and thus hiring a higher number of employees than before the expansion of the system	KRW 1.8 million per quarter for each additionally hired person (KRW 1.2 million for large corporations) over the course of one year (servicing up to one third of the number of employees before the expansion) ※Stripping out those paid less than KRW 600,000 for monthly salary, workers on a fixed-term contract, and non-standing contract workers		One year	
Support fund for promoting the use of experts from SME's	Targeting the employer of a high-priority company in manufacturing or knowledge-based services who hires technicians, product or technology developers and other types of experts, or who employs new workers with support from a company other than high-priority companies ※ The employer must not relocate the employee for employment adjustment for three months prior to the employment and for six months after the employment.	KRW 1.2 million per month for the initial six months and KRW 600,000 per month for the following six months to be provided for each expert after the employment. (Each company has the quota of three experts, and an expert aged 50 or older may be) , provided that the ceiling is set at the amount equivalent to three quarters of normal salary paid to the respective expert by the high-priority company.		One year	The employer provides to the unemployed master's degree or doctoral degree holder of science and engineering fields one half of normal monthly salary paid to the such expert for 12 months. -For the initial six months after the employment , KRW 1.2-1.5 million per month, and KRW 600,000-900,000 per month for the following six months -Should the monthly salary be

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					less than KRW 1.6 million, three quarters of the monthly salary is provided
Support fund for sustaining employment	Targeting the employer required to carry out employment adjustment due to business problems such as production falls and thus taking measures to sustain employment including layoff, leave of absence, training and reshuffling of personnel	-Two thirds of layoff and leave of absence benefits (one half for large corporations) paid to the worker by the employer through the course of measures taken to sustain employment - Three quarters of normal salary (two thirds for large corporations) and training expenses if training is conducted - In the case of unpaid leave of absence, KRW 200,000 per person - In the case of the reshuffling of personnel, three quarters of normal salary (two thirds for large corporations)	Ceiling amount set at KRW 40,000 per person excluding training expenses	No more than 180 days including days taken off due to layoff, leave of absence and training (one year for relocated workers)	
Support fund for boosting new hires	Targeting the employer who hired underprivileged groups including senior citizens, the unemployed young, long-term job seekers, the disabled, female breadwinners, and female workers who are changing jobs due to childbirth, etc. through the placement services of a Job Security Institute over the course of 1-12 months	An amount ranging from KRW 150,000 to KRW 600,000 to be provided to each person, varying according to the group type The extent of support for each target group shall be notified by the Ministry of Employment and Labor.		One year	The provision concerning the young (29 or younger) effective until the end of 2010 The provision concerning female workers who are changing jobs due to childbirth effective

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	The employment period for each group type shall be as prescribed by the Enforcement Regulations of the Employment Insurance Act.				until the end of 2012			
Benefits for preserving the salary peak system	Targeting the worker aged 54 or older who has served for 18 months or longer in the workplace unit that practices salary peak under the agreement between labor and management and whose salary dropped 10 percent or more compared to the peak year.	Amount equivalent to the differential of the peak salary and the current year salary multiplied by fifty hundredths and the cap not exceeding KRW 6 million per year (or KRW 1.5 million per quarter). The combined amount of salary and benefits must not surpass KRW 57.6 million per year (or KRW 14.4 million per quarter) at the same time. ※Those whose annual salary reaches KRW 57.6 million or higher after the cut are excluded.		Up to six years				
Support fund for ensuring continued employment during pregnancy and after childbirth	Targeting the employer who concluded an employment contract effective for one year or longer with the female worker currently pregnant or on maternity leave (including miscarriage and stillbirth) whose contract or subcontract has expired - Preference given to the employer who concluded a continued employment contract with no specified term	The employer who concluded a continued employment contract with a specified term shall be funded KRW 400,000 per month for six months. The employer who concluded a continued employment contract with no specified term shall be funded KRW 600,000 per month for the initial six months and KRW 300,000 per month for the following six months.		Up to one year				
Earned Income Tax Credit (EITC)	1. Must have one or more dependent children under age 18; 2. Must have total annual income* of less than 17 million	Eligible household is granted the EITC of up to 1,200,000 won per year. <table><tr><td>Annual earned income from employm</td><td>Stage</td><td>Credit</td></tr></table>	Annual earned income from employm	Stage	Credit			
Annual earned income from employm	Stage	Credit						

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	won; * interest, dividend and business income etc. included 3. Value of all property* held must be less than 100 million won; * e.g. land, building, bank deposit, shares, bonds, etc.	<table><tr><td>ent (X)</td><td></td><td></td></tr><tr><td>0-8 million won</td><td>Phase-in</td><td>15% × X</td></tr><tr><td>8 million won-12 million won</td><td>Plateau</td><td>1,200,000 won</td></tr><tr><td>12 million won-17 million won</td><td>Phase-out</td><td>24% × (17 million won – X)</td></tr></table> Cf.) The EITC was paid around 591,000 households and cost nearly 450 billion won in 2009.	ent (X)			0-8 million won	Phase-in	15% × X	8 million won-12 million won	Plateau	1,200,000 won	12 million won-17 million won	Phase-out	24% × (17 million won – X)			
ent (X)																	
0-8 million won	Phase-in	15% × X															
8 million won-12 million won	Plateau	1,200,000 won															
12 million won-17 million won	Phase-out	24% × (17 million won – X)															
Tax credit for hiring new employees	In case SMEs hire more workers compared to the prior year, they are eligible for .	3 million won tax credit for each new employee.		It will be effective from March 1, 2010 to June 30, 2011													
Deduction for maintaining the number of employees	If SMEs maintain the number of workers compared to the prior year.	(wages per employee of the prior year - wages per employee of the current year) × the number of employees of the current year × 50%		It will be effective by the end of 2010.													

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

Lone-parents with combined value of income and property below the levels shown in the table are eligible to the benefits below: (for 2009 and 2010)

- Child-rearing support subsidy ; KRW 50,000 a month for children aged less than 12 and school tuition fees for high school students.

9.1 Conditions for receipt

Household consisting of head of household mother or father and children aged less than 18 (in case of school children, aged less than 22) or;

Children whose grandfather and grandmother with its income less than 100% of the basic livelihood costs and who falls under any of the following category;

- A child whose parents have all passed away, or the fate of whose parents is unknown;
- A child whose parents have lost work capability for a long time due to mental disorder, or physical handicap or diseases;
- A child who cannot be supported due to long-time penal servitude, etc. of parents;
- A child who cannot be supported due to divorce or abandonment of parents;
- A child who have run away from home due to discord, etc. of parents;
- A child whose parents have lost work capability for a long time due to unemployment.

(except recipients of the National Basic Livelihood Security Benefits)

9.2 Calculation of benefit amount.

Minimum property and income thresholds for lone-parent families were revised in 2003. The new thresholds, as in the eligibility for the NBLS benefits, reflect the combination of household income and property value that is converted into a certain amount. They vary depending on the number of family members (in million KRW):

		(for 2010, in million KRW)				
Number of family members		2	3	4	5	6
Combined value of income and property	(2009)	1.09	1.40	1.72	2.04	2.36
	(2010)	1.12	1.44	1.77	2.10	2.43

9.2.1 *Calculation of gross benefit*

9.2.1.1 Irregular additional payments

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

In addition, the Ministry of Employment and Labor supports subsidy to encourage new employment is paid to the business owners who employ the unemployed women who are responsible for family livelihood and have registered there for more than 1 month to seek jobs. The amount of subsidy is 600,000 won per month for the first six months after employment, and 300,000 won per month for the next six months.

Cases exist where each local government pays transportation fees, learning material expenses, fees for school meals, etc.

- Benefits related to Lone-parent are operated under tax-free basis.

9.4 *Benefit duration*

- Child-rearing support: Children aged under 12
- Education cost: Children aged under 18

9.5 *Treatment of particular group*

9.5.1 *Young persons*

Household consisting of head of household mother or father who is aged less than 25 tends to have problems such as poverty, burden on childcare, living and housework that household consisting of adult head of household mother or father has, too. However, household consisting of head of household mother or father who is aged less than 25 usually faces difficult situations due to lack of job training and interruption on education. Thus, programme for this particular group is designed to provide financial and educational supports and to create environment for child-rearing since April 2010, lasts up to 5 years.

Details of the programme: child-rearing support, medical expenses, support for school qualification exam, and family asset building for poverty eradication and prevention by income and education level.

< Details of supports for household consisting of head of household mother or father who is aged less than 25 >

	Basic livelihood costs less than 100%	Basic livelihood costs over 100% and less than 150%
▪Support for child-rearing	. Use National Basic Livelihood Security Benefits (Special action to recognize unmarried mother as separate household, etc.)	. Child-rearing support 100,000 won per month (For recipients who receive low-income lone-parent child rearing support, 50,000 won, only extra 50,000 won will be paid.) . Medical expenses for child: 24,000won per month
▪Support for capacity building	. Support for school qualification exam (dropouts, high school level or below)	. Support for school qualification exam (dropouts, high school level or below)
▪Support for asset building	. Support for asset building (Provide matching installment savings account, maximum 50,000won per month)	. Support for asset building (Provide matching installment savings account, maximum 200,000won per month)
* Support for paternity test can be provided on request (400,000won per household)		

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

Each individual is taxed on his/her own income.

Non-taxable wage income includes the:

- national pension, medical insurance, unemployment insurance and work injury insurance that are borne by employer
- overtime payment to productive workers: up to KRW 2 400 000 of overwork payment of productive workers in manufacturing and mining sectors whose monthly wage is less than KRW 1 000 000 and whose yearly wage is less than 20 000 000.

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- Employment Income Deduction: the following deduction from gross income is allowed for wage and salary income earners:

Salary	Deduction
Up to KRW 5 000 000	80%
KRW 5 000 000 to KRW 15 000 000	KRW 4 000 000 plus 50% of the salary over KRW 5 000 000
KRW 15 000 000 to KRW 30 000 000	KRW 9 000 000 plus 15% of the salary over KRW 15 000 000
KRW 30 000 000 to KRW 45 000 000	KRW 11 250 000 plus 10% of the salary over KRW 30 000 000
Over KRW 45 000 000	KRW 12 750 000 plus 5% of the salary over KRW 45 000 000

- Tax allowances for part-time workers is 100,000KRW per day.
- *Basic allowance*: a taxpayer can deduct KRW 1 500 000 from his/her income for each person who meets one of following conditions: (but not applied to part-time workers)
 - taxpayer him/herself
 - taxpayer's spouse whose taxable income is under KRW 1 000 000;
 - taxpayer's (including the spouse's) dependents (parents, siblings, children) within the same household whose income after accounting for the employment income deduction is under KRW 1 000 000 and whose ages are as follows:
 1. parents: aged 60 years or older
 2. brother/sister: aged 60 years or older or aged 20 years or under
 3. children: aged 20 years or under (for the purposes of this Report, where there are two wage earners in the household, it is assumed that the principal wage earner will always claim this allowance).
- *Additional allowance*: a taxpayer can deduct KRW 1 000 000 (500 000 in the case of (c), 2 000 000 in the case of (b) and (e)) from his/her gross income when the taxpayer or his/her dependents fall into the following categories (for this report, only cases (c) and (d) would be applicable):
 1. a person aged 70 years or older (a)

2. a handicapped person (*b*)
 3. a female wage earner who is the head of a household with dependents (but without spouse) or a female wage earner with spouse (in the case of this report, any female wage earner would be entitled to this allowance)³ (*c*)
 4. a child aged 6 years or younger (in this Report, the allowance of KRW 1 000 000 is claimed by the principal wage earner in a household with children) (*d*)
 5. Lineal descendants who are born or adopted during the year concerned (the allowance is KRW 2 000 000 per child) (*e*)
- Extra allowance for multiple children
 - An income earner with two or more dependent children eligible for basic allowance may deduct from gross income KRW 500,000 if there are (at least) 2 children plus an additional KRW 1,000,000 for every additional child.

Compulsory social security contribution:

- *National pension deduction:* Employees can deduct 100 per cent of their contribution of National Pension
- Medical insurance premium and Unemployment insurance premium deduction: employees can deduct 100% of their contribution to authorities.

Lump-sum tax relief:

- Wage and salary income earners may deduct from gross income the expenses for several items paid during the tax year such as insurance premiums (include Medical insurance premium and Unemployment insurance premium), medical expenses, educational expenses, saving/payments for housing, charities and credit card purchases (all of them up to specific limits).
- Any taxpayer whose total deductible expense for the categories mentioned above is not over KRW 1 000 000 may deduct KRW 1 000 000 from their gross income as a lump-sum tax relief.

10.1.1.2 Standard tax credits

- *Tax credits:* wage and salary income earners obtain the following tax credit:

Calculated tax	Amount of tax credit
Up to KRW 500 000	55% of calculated tax
Over KRW 500 000	KRW 275 000 plus 30% of the calculated tax over KRW 500 000 (maximum credit: KRW 500 000)

10.1.2.2 Main non-standard tax reliefs

³ This extra allowance was introduced to promote female work-force participation. The presence of this allowance necessitates further specifying the demographic make-up of each family type considered within this report. To that end, for Korea, it is assumed that with the exception of the single parent with two children, the principal wage earner is a male.

Wage and salary income earners may deduct from gross income the expenses for the following items during the tax year:

- *Insurance premiums (a)*: the general insurance premium up to KRW 1 000 000, as well as the Medical insurance premium and the Unemployment insurance premium can be entirely (100 per cent) deducted from taxable income.
- *Medical expenses (b)*: up to KRW 7 000 000. Full deductions are allowed for medical expenses exceeding 3 per cent of taxable income for the taxpayer himself, taxpayer's dependents who are aged 65 years or older and handicapped persons.
- *Educational expenses (c)*: tuition fees for pre-school, elementary, middle school and college (but the graduate school fee deduction is allowed only for the taxpayer himself), either for the taxpayer himself or his/her dependents (including the taxpayer's spouse, children, and siblings), can be deducted from gross income. The deductible amount is 100 per cent for the taxpayer himself. For the taxpayer's dependents, the maximum deductions are as follows:
 - For pre-school: up to KRW 3 000 000 per child;
 - For elementary, middle and high school: up to KRW 3 000 000 per student;
 - For college/university: up to KRW 9 000 000 per student.
- *Saving/Payment for housing (d)*: The full amount of the interest paid on a long-term mortgage loan for buying a house which is not more than 85m² in area and 300 million won in value; 40 percent of the amount contributed to a savings account for housing by a non-homeowner; 40 percent of the monthly rent or the principal and interest of a loan for leasing a house paid or repaid by a non-homeowner. The sum of the deductible amounts above shall not exceed 15 million won.
- *Charities (e)*:
 - donations to a government body, donations for national defence, natural disaster, and certain charitable associations: total amount up to gross income is deductible;
 - donations to public welfare or religious associations: up to fifteen per cent of gross income.
- *Credit card purchases (f)*: Employees may deduct 20 percent of their credit card (25 percent of their debit card or prepaid card) purchases that exceed 25 per cent of their total income to a maximum of the lesser of KRW 3 000 000 or 20 per cent of their total income.
- *Lump-sum tax relief*: Any taxpayer whose total deductible expense for (a), (b), (c), (d) and (e) is not over KRW 1 000 000 may deduct KRW 1 000 000 from gross income as a lump-sum tax relief.

10.1.2 Income tax schedule (central government income tax)

Tax schedule

Over (KRW)	Not more than (KRW)	Marginal tax rate (%)
0	12 000 000	6
12 000 000	46 000 000	15
46 000 000	88 000 000	24
88 000 000	300 000 000	35
300 000 000		38

10.1.3 State and local income taxes

10.1.3.1 Tax base

The local income tax base is the income tax paid to the central government.

10.1.3.2. Tax rate

A uniform rate of 10 per cent is applied. However, the local government can adjust the rate between the lower limit of 5 per cent and the upper limit of 15 per cent.

10.1.3.3. Tax rate (selected for this study)

A country-wide rate of 10 per cent is used in this Report.

10.2 Treatment of family income

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

10.3.1.1 National pension

The National pension contribution rate is 4.5 per cent of the standardised average monthly wage income as of 2012.

* The scope of the standardised average monthly wage income is from KRW 240,000 to KRW 3,890,000 as of July 1, 2012.

10.3.1.2 Medical insurance

The Medical insurance premium, which has a rate of 3.08995 percent (Health insurance: 2.9%, Long term care insurance: 6.55% of Health insurance premium rate), is levied on average monthly wage income as of January 1, 2012.

* The scope of the average monthly wage income is from KRW 280,000 to KRW 78,100,000.

10.3.1.3 Unemployment insurance

0.55 per cent of gross income.

10.3.1.4 Work injury insurance

Employers only.

10.3.2 Contributions payable by employers

10.3.2.1 National pension

The national pension contribution rate is 4.5 percent of the standardised average monthly wage income as of 2012.

* The scope of the standardised average monthly wage income is from KRW 240,000 to KRW 3,890,000 as of July 1, 2012.

If the average monthly wage income of a person is less than KRW 240,000, the average monthly wage income of the person is regarded as KRW 240,000 and the rate (0.045) is applied. If the average monthly

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Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

wage income of a person is more than KRW 3,890,000, the average monthly wage income of the person is regarded as 3,890,000 and the rate (0.045) is applied; so the maximum of the national pension contribution per year is KRW 2,100,600(=KRW 3,890,000 x 0.045 x 12 months).

10.3.2.2 Medical insurance

The Medical insurance premium, which has a rate of 3.08995 percent (Health insurance: 2.9%, Long term care insurance: 6.55% of Health insurance premium rate), is levied on average monthly wage income as of January 1, 2012.

* The scope of the average monthly wage income is from KRW 280,000 to KRW 78,100,000.

10.3.2.2 Unemployment insurance

- the insurance premium is between 0.8 per cent and 1.4 per cent of total wage;
- the insurance premium selected for this study is 0.8 per cent.

10.3.2.3 Work injury insurance

- the insurance premium consists of an industry-specific rate which is set by the Ministry of Employment and Labour multiplied by total wage
- the average rate of all industries (selected for this study) is 1.77 per cent.

10.3.3 Payroll taxes

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

Reference date for all information is **July 1st 2012**

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11. Part-time work

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

12. Policy Development

12.1 *Policy changes introduced: 2nd July 2011 – 1st July 2012*

12.2 *Future policy changes announced since 1st July 2011*

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.